increase in the first three measures will reduce the volume of money in circulation in India and vice versa.

i. ***Bank Rate Policy:*** Bank rate refers to the rate at which the RBI rediscounts the bills given by the Scheduled banks.

Repo rate is the repurchase rate at which the RBI repurchases the Government securities (other securities also) from the Scheduled banks and gives loans. Reverse repo rate is the rate at which the RBI borrows money from Commercial banks by giving back those Government securities.

ii. ***Cash Reserve Ratio (CRR):*** It is the ratio of Cash reserves with the RBI kept by Scheduled banks in proportion to the total Time and Demand Liabilities with them.

iii. ***Statutory Liquidity Ratio (SLR):*** It is the ratio of money and money equivalents kept within the bank in proportion to the total Time and Demand Liabilities with them.

iv. ***Open Market Operations:*** The RBI directly buys or sells the securities and bills in the money market either to decrease or to increase the total volume of money.

### (b) Qualitative Credit Control Measures:

These methods influence the volume of money in selected or particular sectors of the economy.

i. ***Rationing of credit:*** Maximum limit is fixed for lending to certain sectors or specific purposes.

ii. ***Marginal Requirement:*** It refers to the percentage of the value of securities submitted before issue of loans.

iii. ***Direct Action:*** The RBI takes corrective actions on any bank or banks that does not follow its guidelines. It is called direct action.

iv. ***Moral Suasion:*** The RBI puts pressure on the banks towards liberal or restricted lending during certain periods.

## 5. Lender of the Last Resort

In times of emergency any bank in India can approach RBI for financial assistance. RBI provides them credit. When other sources of getting credit are exhausted, all banks can obtain loan from RBI and hence it is called lender of last resort.

## 6. Clearing House Services

RBI acts as clearing house and maintains a clearing system for all commercial banks in India. The aggregate amount of cheques presented by a bank on other banks represents the claim by that bank on other banks. Similar claims are made by all the banks on every other bank in the clearing. A net settlement is arrived at the clearing house and accordingly the debit or credit entry is made in their current accounts. The cash reserves kept by the banks with RBI is utilised for this purpose. Clearing system saves time and eliminates paperwork and other difficult (otherwise tasks) tasks involved in inter-bank settlement. Though the RBI maintains the clearing house system only 14 clearing houses are owned by the RBI, 840 are managed by SBI and 6 by nationalised banks (total 860).



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